BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-238A/2022

SHRIRAM FINANCE LIMITED
……CLAIMANT

VS

MR. RAVI RANJAN PRATAP SINGH &
OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-238A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

1. MR. RAVI RANJAN PRATAP SINGH
S/O UDAY PRATAP SINGH
R/O-VILL AND POST -BHIKHARPUR THANA AND TEL -R.S. GHAT NEAR GOVT. HOSPITAL RAM SANEHI GHAT BARABANKI 225409
…….……...……Respondent No.1

2. MR. RAJESH KUMAR
S/O BHAGAI PRASAD
R/O-H.NO. 3065 RANEMAU FAIZABAD RANI MAU BHATTHI RUDAULI BARABANKI 225408
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

1. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

2. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **18.09.2017** bearing **Loan Agreement No BARABO709160002.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

3. That the respondent above named approached the claimant finance company on dated **18.09.2017** for a loan of **Rs**.**800000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

4. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **18.09.2017** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**1125305/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

5. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABO709160002** dated **18.09.2017** was therefore entered between the parties. The required loan sum of **Rs. 1125305/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 800000/-** as per the loan agreement and this agreed amount to be repaid in **45** installments.

6. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP41AT-0785 bearing Engine No. 41E84160417 and Chasiss No. MAT448022EAE04236** which is hypothecated to the above named petitioner Company.

7. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have

occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that “To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

8. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ,” The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram’s choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower”.

9. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in* ***LUCKNOW*** *in accordance with the Provisions of the* ***ARBITRATION AND CONCILIATION ACT, 1996,*** *OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a*

person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at ***LUCKNOW*** *only.*

10. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs

and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

11. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

12. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

13. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

14. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

15. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 1812613/-** along with delayed payment charges @ 3% per month against the respondents.

17. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

18. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

19. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the

borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

20. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 1812613**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

21. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

22. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

23. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

24. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 1812613**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-238A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI
SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.RAVI RANJAN PRATAP SINGH & OTHER……RESPONDENTS

AFFIDAVIT

1. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

2. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

3. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

4. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

.

BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-238A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.RAVI RANJAN PRATAP SINGH & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-239A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. RAM MOHAN & OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

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In the matter of:-

M/s. Shriram Finance Limited .

Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

3. MR. RAM MOHAN
S/O MAIKU LAL
R/O-VILL- MULABAD MANJHAR POST - GARHI MANKAPUR HAND PUMP BARABANKI 227131
…..……...……Respondent No.1

4. MR. SANGAM LAL
S/O SUNDAR LAL
R/O-VILL- BHANMAU POST- BHANMAU NEAR BHANMAU MARKET NAWABGANJ BARABANKI 225121
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

16. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books

maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

17. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **19.03.2018** bearing **Loan Agreement No BARABO803190008.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

18. That the respondent above named approached the claimant finance company on dated **19.03.2018** for a loan of **Rs**.**140000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

19. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **19.03.2018** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**177890/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

20. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABO803190008** dated **19.03.2018** was therefore entered between the parties. The required loan sum of **Rs.**

177890/- and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 140000/-** as per the loan agreement and this agreed amount to be repaid in **23** installments.

21. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP33T-4270 bearing Engine No. JEA4M13166 and Chasiss No. MA1YE2JEKB6A80140** which is hypothecated to the above named petitioner Company.

22. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that "To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

23. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such

manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

24. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at **LUCKNOW** only.*

25. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted

installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

26. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the

respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

27. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

28. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

29. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

30. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 314786/-** along with delayed payment charges @ 3% per month against the respondents.

25. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

26. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

27. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

28. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 314786**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

29. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

30. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

31. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

32. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 314786**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-239A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI

SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.RAM MOHAN & OTHER……RESPONDENTS

AFFIDAVIT

5. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

6. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

7. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

8. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

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BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-239A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.RAM MOHAN & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-240A/2022

SHRIRAM FINANCE LIMITED
……CLAIMANT

VS

MR. CHANDAN &
OTHER……RESPONDENTS

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8	VAKALATNAMA	

DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-240A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

5. MR. CHANDAN
S/O PANCHU
R/O-VILL- KANDHAIP[UR SANOULI POST- MAUGORPUR BLOCK BANI CODER THE-RAM SANEHI GHAT BARABANKI 225413
…….....……Respondent No.1

6. MR. PANKAJ TIWARI
S/O PRAMANAND TIWARI
R/O-VILL- PURE AHIRAN POST- MAUGAUR PUR MOUJA THANA-RAM SANEHI GHAT DISS BARABNKI 225413

…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

31. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

32. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the “said agreement”) was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **21.03.2018** bearing **Loan Agreement No BARABO803210003.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

33. That the respondent above named approached the claimant finance company on dated **21.03.2018** for a loan of **Rs**.**120000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

34. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **21.03.2018** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**144615/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

35. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABO803210003** dated **21.03.2018** was therefore entered between the parties. The required loan sum of **Rs. 144615/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 120000/-** as per the loan agreement and this agreed amount to be repaid in **21** installments.

36. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP35T-0373 bearing Engine No. 275ID06HYYSF9235 and Chasiss No. MAT445112BVH73545** which is hypothecated to the above named petitioner Company.

37. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have

occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that “To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

38. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ,” The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram’s choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower”.

39. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a*

person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at ***LUCKNOW*** *only.*

40. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs

and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

41. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

42. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

43. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

44. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

45. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 442180/-** along with delayed payment charges @ 3% per month against the respondents.

33. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

34. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

35. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the

borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

36. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 442180**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

37. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

38. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

39. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

40. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 442180**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-240A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI
SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.CHANDAN & OTHER……RESPONDENTS

AFFIDAVIT

9. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

10. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

11. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

12. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

.

BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-240A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.CHANDAN & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to

appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-241A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. ANOOP SINGH & OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-241A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder
Authorized Signatory

Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

7. MR. ANOOP SINGH
S/O JAGDEV SINGH
R/O-VILL- NIYAMAT PUR COLONY POST- NIYAMAT PUR THANA-SAFDARGANJ NEAR KALYANI RIVER NAWABGANJ BARABANKI 225204

…..……...……Respondent No.1

8. MR. SUSHIL KUMAR SINGH
S/O UTTAM KUMAR SINGH
R/O-MOH. SARASWATI VIHAR LAKHPERABAGH NEAR DVS SCHOOL KE PASS NAWABGANJ BARABANKI 225001
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

46. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

47. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **24.05.2018** bearing **Loan Agreement No BARABT805230003.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

48. That the respondent above named approached the claimant finance company on dated **24.05.2018** for a loan of **Rs**.**130000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

49. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **24.05.2018** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**184358/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

50. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT805230003** dated **24.05.2018** was therefore entered between the parties. The required loan sum of **Rs. 184358/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs.**

130000/- as per the loan agreement and this agreed amount to be repaid in **48** installments.

51. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP32 EY 9478 bearing Engine No. F8BIN4617000 and Chasiss No. MA3EVB11S01449844** which is hypothecated to the above named petitioner Company.

52. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that "To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

53. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower

on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

54. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at **LUCKNOW** only.*

55. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by

Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

56. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due

under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

57. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

58. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

59. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

60. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 343144/-** along with delayed payment charges @ 3% per month against the respondents.

41. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

42. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed

of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

43. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

44. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 343144**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

45. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

46. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

47. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

48. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 343144**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-241A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI

SHRIRAM FINANCE LIMITED ……CLAIMANT

VERSUS

MR.ANOOP SINGH & OTHER……..…RESPONDENTS

AFFIDAVIT

13. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

14. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

15. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

16. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

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BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-241A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.ANOOP SINGH & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-242A/2022

SHRIRAM FINANCE LIMITED
……CLAIMANT

VS

MR. SHAH ALAM &
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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-242A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

9. MR. SHAH ALAM
S/O HASAN ALI
R/O-GADHI NO1 SATRIKH, MAWABGANJ NEAR MASJID SATRIKH BARABANKI 225122
…..……...……Respondent No.1

10. MR. RAMU KASHYAP
S/O HARI SHANKER KASHYAP
R/O-VILL-BHARAGANJ POST- SATRIKH NEAR CHANARINA PULIYA NAWABGANJ BARABANKI 225122
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

61. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

62. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **23.05.2019** bearing **Loan Agreement No BARABT905220001.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

63. That the respondent above named approached the claimant finance company on dated **23.05.2019** for a loan of **Rs**.**118500/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

64. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **23.05.2019** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**169763/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

65. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT905220001** dated **23.05.2019** was therefore entered between the parties. The required loan sum of **Rs. 169763/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 118500/-** as per the loan agreement and this agreed amount to be repaid in **30** installments.

66. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP32CN-5821 bearing Engine No. GG71L59762 and Chasiss No. MA1ZG2GGA71L53666** which is hypothecated to the above named petitioner Company.

67. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have

occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that “To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

68. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ,” The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram’s choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower”.

69. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a*

person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at ***LUCKNOW*** *only.*

70. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs

and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

71. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

72. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

73. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

74. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

75. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 159195/-** along with delayed payment charges @ 3% per month against the respondents.

49. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

50. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

51. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the

borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

52. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 159195**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

53. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

54. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

55. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

56. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 159195**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-242A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI
SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.SHAH ALAM & OTHER……..…RESPONDENTS

AFFIDAVIT

17. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

18. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

19. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

20. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

.

BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-242A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.SHAH ALAM & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-243A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. MOHD. AFJAL & OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-243A/2022**

In the matter of:-

M/s. Shriram Finance Limited .

Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

11. MR. MOHD. AFJAL
S/O NISAR AHMAD
R/O-MOHHLLA. BAZAR NEAR DURGA MATA MANDIR MASAULI BAZAR NAWABGANJ BARABANKI 225204
…….……...……Respondent No.1

12. MR. SAJID
S/O ABID
R/O-VILL- MASAULI POST- MASAULI AHMAD PUR NEAR POST-OFFICE MASAULI NAWABGANJ BARABANKI 225412
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

76. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books

maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

77. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **19.07.2018** bearing **Loan Agreement No BARABT907020001.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

78. That the respondent above named approached the claimant finance company on dated **19.07.2018** for a loan of **Rs**.**60000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

79. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **19.07.2018** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**88397/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

80. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT907020001** dated **19.07.2018** was therefore entered between the parties. The required loan sum of **Rs.**

88397/- and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 60000/-** as per the loan agreement and this agreed amount to be repaid in **35** installments.

81. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP41T-5030 bearing Engine No. 275ID05GZYS98501 and Chasiss No. MAT445121AVG49396** which is hypothecated to the above named petitioner Company.

82. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that "To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

83. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such

manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

84. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in* ***LUCKNOW*** *in accordance with the Provisions of the* ***ARBITRATION AND CONCILIATION ACT, 1996,*** *OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at* ***LUCKNOW*** *only.*

85. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted

installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

86. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the

respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

87. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

88. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

89. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

90. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 98151/-** along with delayed payment charges @ 3% per month against the respondents.

57. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

58. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

59. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

60. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 98151**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

61. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

62. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

63. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

64. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 98151**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-243A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI

SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.MOHD. AFJAL & OTHER……RESPONDENTS

AFFIDAVIT

21. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

22. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

23. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

24. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

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BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-243A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.MOHD. AFJAL & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-244A/2022

SHRIRAM FINANCE LIMITED
……CLAIMANT

VS

MR. SAJID &
OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-244A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

13. MR. SAJID
S/O ABID
R/O-VILL- MASAULI POST- MASAULI THANA- MASAULI NEAR POST OFFICE MASAULI NAWABGANJ BARABNKI 225412
…..……...……Respondent No.1

14. MR. MOHD. SHABBIR
S/O NASEER
R/O-VILL- MASAULI POST- MASAULI THANA- MASAULI NEAR POST OFFICE MASAULI NAWABGANJ BARABNKI 225412
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

91. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

92. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **30.12.2019** bearing **Loan Agreement No BARABT912280002.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

93. That the respondent above named approached the claimant finance company on dated **30.12.2019** for a loan of **Rs**.**70000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

94. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **30.12.2019** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**86329/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

95. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT912280002** dated **30.12.2019** was therefore entered between the parties. The required loan sum of **Rs. 86329/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 70000/-** as per the loan agreement and this agreed amount to be repaid in **17** installments.

96. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP41T-5318 bearing Engine No. 275IDI06KZYSF3200 and Chasiss No. MAT445122AVK75840** which is hypothecated to the above named petitioner Company.

97. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have

occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that “To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

98. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ,” The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram’s choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower”.

99. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a*

person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at ***LUCKNOW*** *only.*

100. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with

regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower ‘s/ Guarantor’s (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram’s omission to do any act which but for this present provisions Shriram’s duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor’s jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

101. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

102. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

103. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner’s demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

104. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

105. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 156080/-** along with delayed payment charges @ 3% per month against the respondents.

65. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

66. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

67. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of

insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

68. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 156080**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

69. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

70. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

71. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

72. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 156080**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-244A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI
SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.SAJID & OTHER……RESPONDENTS

AFFIDAVIT

25. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

26. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

27. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

28. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

.

BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-244A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.SAJID & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-245A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. SHARVAN KUMAR & OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-245A/2022**

In the matter of:-

M/s. Shriram Finance Limited .

Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

15. MR. SHARVAN KUMAR
S/O MRITYUNJAY PRASAD
R/O-VILL- PURE BHAVAN POST- SURAJPUR THE- AND THANA. RAM SANEHI GHAT SURAJ PUR WELL IN FRONT OF HOUSE BARABANKI 225409
…..……...……Respondent No.1

16. MR. RAM DHANI
S/O MAUNI
R/O-VILL- BAJPUR POST- TIWARIPUR THE- AND THANA. RAM SANEHI GHAT HANUMAN JI TEMPLE BARABANKI 225409
……..……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

106. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived

from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

107. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **28.08.2020** bearing **Loan Agreement No BARABT008270005.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

108. That the respondent above named approached the claimant finance company on dated **28.08.2020** for a loan of **Rs**.**100000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

109. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **28.08.2020** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**133298/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

110. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT008270005** dated

28.08.2020 was therefore entered between the parties. The required loan sum of **Rs. 133298/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 100000/-** as per the loan agreement and this agreed amount to be repaid in **20** installments.

111. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP42T-7482 bearing Engine No. GF94D34715 and Chasiss No. MATVF2GFK93D69514** which is hypothecated to the above named petitioner Company.

112. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that “To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

113. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ,” The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to

sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

114. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at **LUCKNOW** only.*

115. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement,

the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower ‘s/ Guarantor’s (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram’s omission to do any act which but for this present provisions Shriram’s duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor’s jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

116. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

117. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

118. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

119. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

120. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 123996/-** along with delayed payment charges @ 3% per month against the respondents.

73. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount

owing to the petitioner, the following dispute has arisen between the parties.

74. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

75. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged

hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

76. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 123996**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

77. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

78. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

79. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

80. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in

repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 123996**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-245A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI

SHRIRAM FINANCE LIMITED

……CLAIMANT

VERSUS

MR.SHARVAN KUMAR &
OTHER……RESPONDENTS

AFFIDAVIT

29. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

30. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

31. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

32. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

.

BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-245A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.SHARVAN KUMAR & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-246A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. DHARMPAL & OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-246A/2022**

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M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder
Authorized Signatory
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

17. MR. DHARMPAL
S/O KESHAN
R/O-MASOOD KATRA RASAULI BARABANKI 225001
…….....……Respondent No.1

18. MR. SHAHNWAJ
S/O ABDUL KALAM
R/O-SURSANDA RASAULI PAHLIPAR NAWABGANJ BARABANKI 225001 ……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

121. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

122. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the “said agreement”) was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC

Limited and respondent no.1 and respondent no.2 on dated: **13.10.2020** bearing **Loan Agreement No BARABT010120001.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

123. That the respondent above named approached the claimant finance company on dated **13.10.2020** for a loan of **Rs**.**74000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

124. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **13.10.2020** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**101616/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

125. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT010120001** dated **13.10.2020** was therefore entered between the parties. The required loan sum of **Rs. 101616/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 74000/-** as per the loan agreement and this agreed amount to be repaid in **25** installments.

126. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP41T-6105 bearing Engine No. 275ID06JYYSH4641 and Chasiss No. MAT445122BVJ80506** which is hypothecated to the above named petitioner Company.

127. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that "To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

128. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

129. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in ***LUCKNOW*** *in accordance with the Provisions of the* ***ARBITRATION AND CONCILIATION ACT, 1996,*** *OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at* ***LUCKNOW*** *only.*

130. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of

the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

131. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

132. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

133. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

134. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

135. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 103656/-** along with delayed payment charges @ 3% per month against the respondents.

81. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

82. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

83. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft,

pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

84. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 103656**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

85. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

86. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

87. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

88. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 103656**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-246A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI
SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.DHARMPAL & OTHER……..…RESPONDENTS

AFFIDAVIT

33. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

34. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and

derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

35. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

36. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

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BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-246A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.DHARMPAL & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other

writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-247A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. MOHD. SUEB &
OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-247A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

19. MR. MOHD. SUEB
S/O MOHD. AMEEN
R/O-VILL- DEVKALI ,POST AHMADPUR NEAR NEEM TREE ,RAM SANEHI GHAT BARABANKI 225412
…….……...……Respondent No.1

20. MR. MOHD. YUSUF
S/O MOHD. YASEEN
R/O-VILL- DEVKALI POST & THANA. JAIDPUR NEAR MASJID BARABANKI 225412 ……..……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

136. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present

petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

137. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **21.10.2020** bearing **Loan Agreement No BARABT010200002.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

138. That the respondent above named approached the claimant finance company on dated **21.10.2020** for a loan of **Rs**.**74000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

139. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **21.10.2020** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**95260/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

140. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT010200002** dated **21.10.2020** was therefore entered between the parties. The required loan sum of **Rs. 95260/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 74000/-** as per the loan agreement and this agreed amount to be repaid in **20** installments.

141. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP33T-5481 bearing Engine No. 275IDI06LYYSN0488 and Chasiss No. MAT445122BVNA1037** which is hypothecated to the above named petitioner Company.

142. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that “To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

143. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

144. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at **LUCKNOW** only.*

145. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the

Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower ‘s/ Guarantor’s (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram’s omission to do any act which but for this present provisions Shriram’s duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor’s jointly with the borrower and accordingly the

guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

146. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

147. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

148. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

149. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

150. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 117279/-** along with delayed payment charges @ 3% per month against the respondents.

89. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

90. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

91. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole

discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

92. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 117279**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

93. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

94. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

95. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

96. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they

refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 117279**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras

09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-247A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI

SHRIRAM FINANCE LIMITED ……CLAIMANT

VERSUS

MR.MOHD. SUEB & OTHER……..…RESPONDENTS

AFFIDAVIT

37. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

38. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

39. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

40. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

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BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-247A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.MOHD. SUEB & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-248A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. SAYYED IQBAL AHMAD & OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-248A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

21. MR. SAYYED IQBAL AHMAD
S/O
R/O-175,NAARVAPH SIRAULI GAUS PUR NEAR BARABANKI SIRAULI GAUS PUR BARABANKI 225207
…….……Respondent No.1

22. MR. NAVEEN AVASTHI
S/O
R/O-883, BADEL BARABANKI NEAR LAKHPERABAGH NAWABGANJ BARABANKI 225001
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

151. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

152. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the “said agreement”) was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC

Limited and respondent no.1 and respondent no.2 on dated: **15.05.2012** bearing **Loan Agreement No FAIZAO205140007.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

153. That the respondent above named approached the claimant finance company on dated **15.05.2012** for a loan of **Rs**.**300000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

154. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **15.05.2012** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**414426/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

155. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. FAIZAO205140007** dated **15.05.2012** was therefore entered between the parties. The required loan sum of **Rs. 414426/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 300000/-** as per the loan agreement and this agreed amount to be repaid in **36** installments.

156. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP41T3149 bearing Engine No. 608510 and Chasiss No. 808315** which is hypothecated to the above named petitioner Company.

157. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of

the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that "To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

158. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

159. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the

*rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at **LUCKNOW** only.*

160. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that

notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

161. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

162. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

163. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents,

but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

164. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

165. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 359339/-** along with delayed payment charges @ 3% per month against the respondents.

97. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

98. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

99. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the

original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

100. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 359339**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

101. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

102. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of

the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

103. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

104. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 359339**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-248A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI
SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.SAYYED IQBAL AHMAD &
OTHER……..…RESPONDENTS

AFFIDAVIT

41. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

42. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly

conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

43. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

44. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

.

BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-248A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.SAYYED IQBAL AHMAD & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other

writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-249A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

VS

MR. ANIL KUMAR &
OTHER……RESPONDENTS

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-249A/2022**

In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

23. MR. ANIL KUMAR
S/O GHASITE
R/O-VILL- PALHARI ,POST- PALHARI SAFDERGANJ NAWABGANJ BARABANKI 225412
…….……...……Respondent No.1

24. MR. GOVIND KUMAR
S/O MUNNA LAL
R/O-VILL- PYARE PUR SARAIYA SAFDERGANJ NEAR TALAB BARABANKI 225412 …….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

166. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present

petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

167. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the "said agreement") was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC Limited and respondent no.1 and respondent no.2 on dated: **29.03.2019** bearing **Loan Agreement No BARABT903280013.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

168. That the respondent above named approached the claimant finance company on dated **29.03.2019** for a loan of **Rs**.**130000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

169. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **29.03.2019** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**187985/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

170. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT903280013** dated **29.03.2019** was therefore entered between the parties. The required loan sum of **Rs. 187985/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 130000/-** as per the loan agreement and this agreed amount to be repaid in **33** installments.

171. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP32CN 9052 bearing Engine No. GA81G19872 and Chasiss No. MA1RZ2GAA81G37209** which is hypothecated to the above named petitioner Company.

172. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that “To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

173. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

174. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

> *All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in **LUCKNOW** in accordance with the Provisions of the **ARBITRATION AND CONCILIATION ACT, 1996,** OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at **LUCKNOW** only.*

175. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the

Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower ‘s/ Guarantor’s (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram’s omission to do any act which but for this present provisions Shriram’s duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor’s jointly with the borrower and accordingly the

guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

176. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

177. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

178. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

179. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

180. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 255696/-** along with delayed payment charges @ 3% per month against the respondents.

105. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

106. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

107. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft, pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole

discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

108. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 255696**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

109. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

110. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

111. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

112. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the

house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 255696**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras

09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-249A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI

SHRIRAM FINANCE LIMITED ……CLAIMANT

VERSUS

MR.ANIL KUMAR & OTHER……RESPONDENTS

AFFIDAVIT

45. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

46. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

47. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

48. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

.

BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-249A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.ANIL KUMAR & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE

BEFORE MR.JAI PRAKASH NARAIN(ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: AS-250A/2022

SHRIRAM FINANCE LIMITED ……CLAIMANT

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DATE -25.03.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

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In the matter of:-

M/s. Shriram Finance Limited .
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory**
Sayyed Akram hasan rizvi ……Petitioner / Claimant

VERSUS

25. MR. MOHD. ISRAR
S/O MOHD. SUSAIN
R/O-MOHLLA. UTTAR TOLA ,BARABANKI 225001
…….……...……Respondent No.1

26. MR. SACHIN SINGH
S/O VIRENDRA SINGH
R/O-PURE MOTI POST- BARAIL BEHIND CENTRAL ACADEMY ALI PUR NAWABGANJ BARABANKI 225001
…….……..……Respondent No.2

STATEMENT OF CLAIM ON BEHALF OF PETITIONER UNDER ARBITRATION ACT

That the petitioner above named is the authorized signatory of Shriram Transport Finance company Limited which after amalgamation on dated 30.11.2022 has been renamed as Shriram Finance Ltd. and presently working as **BRANCH MANAGER** in its Branch office at Office 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 **having its Registered Office presently at OFFICE NO 14A SOUTH PHASE INDUSTRIAL ESTATE, GUINDY CHENNAI-600032.**

181. That the claimant company is filing the present claim petition through **MR. SAYYED AKARM HASAN RIZVI** who is authorized signatory and is authorized vide power of attorney to institute, sign and verify the present petition and all the proceedings and to do all other acts, needs and things necessary for the proper conduct and prosecution of this petition in all its stages. The said **Mr. SAYYED AKARM HASAN RIZVI** is otherwise also fully conversant with the facts of the case as per information received and derived from the records and books maintained by the claimant/petitioner company in the regular course of its business and is thus competent to depose and verify the facts

The photo copy of the power of attorney is filed herewith as an **Annexure No. 1** to this claim petition.

182. That at the instant and request of the respondent no.1 and on the respondent no.2 agreeing to stand as the guarantor for the respondent no.1 a written loan cum hypothecation agreement (hereinafter for the sake of brevity, referred to as the “said agreement”) was entered into between the Claimant petitioner company and respondent no. 1 and respondent no. 2. This loan agreement is signed by the authorize signatory of the STFC

Limited and respondent no.1 and respondent no.2 on dated: **29.06.2019** bearing **Loan Agreement No BARABT906290004.**

The photo copy of the said agreement is being annexed herewith as an **Annexure No.2** to this claim petition.

183. That the respondent above named approached the claimant finance company on dated **29.06.2019** for a loan of **Rs**.**70000/-** for the commercial vehicle and assured that the repayment of the loan will be made as per the terms and conditions of the agreement executed between the finance company and the respondent No.1 (Borrower) and respondent no.2 (Guarantor) who has signed the Loan agreement as Guarantor for the respondent no.1.

184. That the petitioner above named was persuaded accordingly to extend the required facility to the respondent and the loan agreement dated **29.06.2019** was therefore entered into between the parties. The required loan aggregating to a sum of **Rs**.**98887/-** was sanctioned pursuant to the execution of the agreement, to enable the respondent to purchase the commercial vehicle. The said loan agreement, executed by the claimant & the respondents. The Loan agreement was signed by the claimant, the borrower and the guarantor.

185. That the petitioner was accordingly persuaded to extend the required loan facility to the respondent NO.1. And therefore a loan agreement bearing **Loan Agreement No. BARABT906290004** dated **29.06.2019** was therefore entered between the parties. The required loan sum of **Rs. 98887/-** and was sanctioned pursuant to execution of the agreement. For this loan facility with interest was to be charged which amount to **Rs. 70000/-** as per the loan agreement and this agreed amount to be repaid in **31** installments.

186. That the respondent No.1 above named bought a commercial vehicle by the loan sanctioned and is the owner of the vehicle **Registration No UP41T-4886 bearing Engine No. 275lDl05HZYSB5306 and Chasiss No. MAT445121AVH57662** which is hypothecated to the above named petitioner Company.

187. The respondent No.1 undertook, to repay the loan amounts, interest and other charges in installments as specified, in consideration of the petitioner having granted the required loans to him, the respondent hypothecated to, and charged in favour of the petitioner by way of first and exclusive charge as mentioned under **clause 3.1** of the loan agreement, in respect of the vehicle in question. The parties also agreed, vide **Article 5** of the agreement, that an **event of default** would be deemed to have occurred where if any installments or a part thereof or any other dues payable under this agreement are in arrears and remain unpaid after the due date for any reason whatsoever the respondent shall pay any sum due from him under the agreements. Furthermore, vide **Article 6 sub clause (b)** the respondent has agreed that "To take the possession of the hypothecated assets from where so ever it may be and remove the hypothecated asset including all accessories body work and fittings and for the said purpose it shall be lawful for Shriram or the Shriram authorised representatives, servants , officers and agents forthwith or at any time and without notice to the Borrower (s) to enter upon the premises , or garage or godown where the hypothecated assets shall be lying or kept and to take possession or recover or receive the same and if necessary to break open such place of storage; Shriram will be within its rights to use a tow- van to carry away the assets. Any damage to the land or building caused by the removal or the asset shall be the sole responsibility of the **B**orrower(s).

188. That the borrower has also agreed vide **clause 7.2** of the loan agreement that ," The Borrower expressly recognizes and accepts that Shriram shall be absolutely entitled and have full power and authority to sell , assign or transfer in any manner, in whole or in part , and in such manner and on such terms as Shriram may decide (including reserving a right to Shriram to retain its power under to proceed against the Borrower on behalf of the purchaser assignee or transferee) any or all out standings and dues of the Borrower to any third party of Shriram's choice without any further reference or intimation to the Borrower. Any such action and any such sale, assignment or transfer shall bind the Borrower to accept such behalf whether on account of such sale, assignment or transfer or enforcement of rights and recovery of out standings and dues and shall be to the account of the Borrower".

189. That The arbitration agreement between the parties is contained in **clause 15** of the agreements, which reads as under :

All disputes, differences and/or claim arising out of these presents or as to the construction, meaning or effect here of or as to the rights and liabilities of the parties hereunder shall be settled by arbitration to be held in ***LUCKNOW*** *in accordance with the Provisions of the* ***ARBITRATION AND CONCILIATION ACT, 1996,*** *OR any statutory amendments thereof or any statute enacted for replacement thereof and shall be referred to the Sole arbitration of a person to be nominated/appointed by Shriram. In the event of death, refusal, neglect, inability or incapability of the person so appointed to act as an arbitrator, Shriram may appoint a new arbitrator. The award including the interim award/s of the arbitrator shall be final and binding on all parties concerned. The Arbitrator may lay down from time to time the procedure to be followed by him in conducting arbitration proceeding and shall conduct arbitration proceedings in such a manner as he considers appropriate. Any proceedings to be initiated in any court of law in pursuance of this arbitration shall be instituted and held in the court at* ***LUCKNOW*** *only.*

190. That the respondent no.2 being the guarantor for the respondent no.1 has bind himself/ herself vide **Article 4** of the Loan agreement which read as under :- **Clause (i)** – In consideration of Shriram having advanced the credit facility as per the Schedule I to the Borrower , the guarantor(s) hereby agrees / agree and undertakes/ undertake that in the event that the borrower fails , neglect or refuses for any reason whatsoever and howsoever to repay and / or is unable to pay any of the installments or amounts due and payable under this agreement, the guarantor (s) does / do hereby guarantee and undertake to pay to Shriram the said defaulted installments along with any penalties, costs , charges , commission, expenses , and statutory dues , if any , in full or the first demand by Shriram and upon Shriram notifying to the guarantor(s) of such defaults by the borrower, without any demur or protest or contestations and without any reference to the borrower, unconditionally and without raising any objection or issue whatsoever and irrespective of or notwithstanding any dispute or difference in respect of the said amounts failing due to Shriram. In the event the Guarantor(s) fails to perform the above obligation Shriram shall have the right to repossess any asset of the guarantor which is mortgaged / hypothecated / pledged to Shriram or is on hire from Shriram towards liquidation of the outstanding of the Borrower(s) . **Sub Clause** (iii):- the guarantor(s) shall forthwith repay Shriram all such amounts, within 48 hours from the date of the receipt of

the notice from Shriram stating the default through registered post / courier / fax / authenticated telex of cable. It is expressly specified that notwithstanding anything to the contrary the guarantor will not be entitled to request Shriram to establish its claim in respect of such default. ; **Sub Clause (iv) T**he guarantor(s) hereby agrees / agree that the entries in the books / computer records kept in the ordinary course of business by Shriram with regards to the amounts due from the borrower and with regard to the installments , costs and expenses debited to the Borrower(s) account shall be conclusive evidence against the Borrower and the guarantor of the transactions and matters therein appearing and of the borrower 's/ Guarantor's (s) liability for the sum shown to be due by such entries. ; **Sub Clause (vi)** the guarantor also agree / agrees that it/ they shall not be discharged from its / their liability by the Shriram releasing the borrower or by any act or omission of Shriram the legal consequences of which may be to discharge the Borrower or by any act of Shriram which would, but for this present provision , be inconsistent with the guarantor (s) rights as sureties or by Shriram's omission to do any act which but for this present provisions Shriram's duty to the guarantor (s) would have required Shriram to do . Though as between the Borrower and the guarantor (s), the guarantor(s) is / are a surety only, the guarantor (s) agrees / agree that as between Shriram and the guarantor (s), the guarantor (s) is / are a principal debtor / debtor's jointly with the borrower and accordingly the guarantor (s) shall not be entitled to any of their rights conferred on sureties by section 133, 134, 135,139, and 141 of Indian Contract Act.

191. That the petitioner states that it was constrained to resort to the relevant clauses contained in the loan agreements executed by the respondent, since contrary to the assurances rendered by him, the respondent defaulted persistently in the payment of installments due under the agreements. The petitioner was constrained to write frequently to him, and require him to regularize his account. The respondent, however, did not / was unable to regularize payments, and has also not surrendered the vehicle to the petitioner.

192. That the vehicle is in possession of the respondent no. 1 above named and despite of repeated requests of the petitioner above named no heed was paid by the respondents and also threatened the officials of the petitioner finance company to dispose of the vehicle in question if they dared to recover the amount from the respondents.

193. That the petitioner therefore got issued a notice of demand dated **20.12.2022** to the respondent no.1, and 2 calling upon them to pay the amount due. The said notice has been served upon the respondents, but they have failed to even reply to the same, let alone comply with the petitioner's demands.

A photo copy of the said notice, along with the postal receipts is annexed herewith as **Annexure No.-3** to this claim petition.

194. That the petitioner has done its best to recover the amounts owing to it. Several communications have been addressed to the respondent no.1 and 2, and the petitioner's representatives have been constrained to visit him as well, in a bid to recover the amounts owing to the petitioner. All their efforts have, however, been unsuccessful.

195. That the respondents above named after the service of the said notice dated **20.12.2022** have till date not made the payment of the outstanding amount due towards the discharge of liability of the respondents above named. The petitioner is entitled for an amount of **RS. 168590/-** along with delayed payment charges @ 3% per month against the respondents.

113. That since the respondent no.1, and 2 have failed to even reply to the notice of demand addressed by the petitioner, let alone pay the amount owing to the petitioner, the following dispute has arisen between the parties.

114. That the petitioner also submits that in any case, it is imperative that the amount in dispute be secured. If the respondent no.1 succeeds in his endeavour, and the above stated hypothecated vehicle is once disposed of, the petitioner may never be able to recover its money in entirety. The petitioner is therefore praying for the passing of appropriate orders against the respondent, restraining him from selling, transferring, or otherwise alienating, or creating third party rights in respect of his property, the details whereof are set out hereinabove.

115. That the respondents have agreed in **clause 3.8 (a) of the loan agreement** that the Borrower shall keep the hypothecated assets fully and comprehensively insured from time to time against all risks such as accidents, fire, arson, lightening, riots, civil, commotion, war, theft,

pilferage, third party liabilities and such other risks as may be stipulated by Shriram from time to time, to the extent of full market value thereof. The insurance shall be in joint names of the borrower and Shriram and the original policies of the insurance and renewal notes shall be deposited with Shriram. The Borrower shall duly and punctually pay the entire premium on all such policies as and when due and shall produce to Shriram for inspection the original receipts and furnish duly certified copies thereof for Shriram records. The Borrower shall insure that such policies of insurance are kept alive during the subsistence of this security and the borrower shall not do or permit to be done anything by reason of which such insurance may be cancelled ; and the respondent has further agreed vide clause **3.8 (b)** of the loan agreement that , On default of the borrower to keep the hypothecated assets insured as aforesaid , Shriram may at its discretion, but without any obligation to do so , effect insurance of the hypothecated assets and / or pay the premium in respect thereof and the borrower hereby under takes to reimburse Shriram on demand all the amounts paid and / or incurred by Shriram in doing so and on default of payment of such amounts by the borrower Shriram shall be at the liberty to debit such amounts to the accounts of the borrower with Shriram and such amounts shall carry interest at the same rates as provided in the Schedule III hereto. ; and the respondent has further agreed vide clause 3.8 (c) that, if any amount is received form an insurance company under any policy or policies of insurance, the amount so realized may, at the sole discretion of Shriram, be utilized in replacement of the lost or damaged hypothecated assets or in liquidation of the liability of the borrower to Shriram under these presents.

116. That the respondent named above is liable to pay the due loan amount as per the statement of account which amounts to **RS. 168590**/-

The photo copy of the statement of account is being annexed herewith as an **Annexure No.5** to this claim petition.

117. That the petitioner has prima facie case against the respondents, and the balance of convenience also lies in favour of the petitioner and against the respondents. The petitioner may suffer irreparable loss and undue prejudice, if appropriate orders are not passed against the respondents and in favour of the petitioner.

118. That before the initiation of the arbitration proceedings before this Hon'ble tribunal the claimant has served intimation for appointment of the sole arbitrator to the respondents vide letter dated: **02.01.2023.**

The photo copy of the **APPOINTMENT LETTER** is being annexed herewith as an **Annexure no. 4 t**o this claim petition.

119. That the agreement executed between the claimant and the respondent also contains a clause for the Territorial jurisdiction of the Arbitration proceedings which are to be held at Lucknow. Hence this Hon'ble Tribunal has the jurisdiction to adjudicate on the dispute arose between the claimant and the respondents and also to pass an award on the merits of the case.

120. That the cause of action for filing the present claim petition before this Hon'ble tribunal arose when the dispute for the repayment of the due amount has arisen between the claimant and respondents when the demand notice for the payment of the due amount was served on to the respondents and they failed to discharge their liability in pursuance of this demand notice thereof on When the official of the claimant finance company went to the house / office of the respondents to recover the due installments and they refused to repay the due installments and on such dates when the default in repayment of the due installments has been made by the respondents and the same are continuing till today.

PRAYER

That the Claimant / applicant above named most respectfully prays for the following reliefs

In the aforesaid facts and circumstances stated above and in the interest of justice it is humbly prayed that this Hon'ble tribunal may graciously be pleased to pass an Award for an amount of **RS. 168590**/- along with interest in favour of the petitioner /Claimant and against the respondent no.1, and 2 named above till the date of actual realization.

Further be pleased to pass an award to the cost of these proceedings in favour of the claimant / petitioner and against the responds.

It is further prayed that this Hon'ble tribunal may further be pleased to pass any other order or direction which this Hon'ble tribunal deems just and proper in the circumstances of the case.

Barabanki

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

VERIFICATION:

I, SAYYED AKRAM HASAN RIZVI authorizedsignatory and BRANCH MANAGER in Shriram Finance Limited do hereby verify that the contents of paras 1 to 08, 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.. Verified at Barabnaki on 24.02.2023.

Barabanki **SAYYED AKRAM HASAN RIZVI**

DATE: 24.02.2023 **CLAIMANT / PETITIONER**

BEFORE MR.JAI PRAKASH NARAIN (ADDL. DISTRICT AND SESSIONS JUDGE, RETD.)

SOLE ARBITRATOR

C-2001/38, INDRA NAGAR, LUCKNOW-226016

Arbitration Case No: **AS-250A/2022**

In the matter of:-

M/s. Shriram Finance Limited.
Office Situated at 1ST Floor, SHIVA PLAZA DEWA ROAD CIVIL LINE BARABANKI Pin Code-225001 Represented by its Power of attorney Holder **Authorized Signatory** SAYYED AKRAM HASAN RIZVI
SHRIRAM FINANCE LIMITED
……CLAIMANT

VERSUS

MR.MOHD. ISRAR & OTHER……RESPONDENTS

AFFIDAVIT

49. SAYYED AKRAM HASAN RIZVI aged about 45 years son of Mr **SAYYED MAHMUDUL HASAN RIZVI**, Presently working as BRANCH MANAGER , in Shriram Finance Ltd. the deponent do hereby solemnly affirm on oath and state as under:-

50. That the deponent is BRANCH MANAGER inShriram Finance Limited having its Branch office at, Office 1ST Floor, SHIVA PLAZA DEWA ROAD

CIVIL LINE BARABANKI Pin Code-225001and is thus thoroughly conversant with the facts of the case as per information received and derived from the records and books of the claimant / petitioner maintained by the claimant / petitioner company in the regular course of its business. The deponent is duly authorized and empowered to file the claim petition and do pairvee of the case on behalf of the petitioner company.

51. That the contents of paras 1 to 08 , 15 to 19 and 21 and 23 of the claim petition are true to my personal knowledge and those of paras 09 to 14 ,20 and 22 to 24 are believed to be true.

52. That the Annexure accompanying the claim petition are true/photo state copies of their respective originals

Barabanki

DATE: 24.02.2023 **DEPONENT**

VERIFICATION

I, the above named deponent do hereby verify that the contents of Para 1, 2&3 of this affidavit are true to my knowledge based on office records.

Signed and verified this 24.02.2023, in the civil court compound at Barabanki.

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BARABANKI

DATE 24.02.2023 **DEPONENT**

I identify the deponent who has signed before me.

MR.RAGHVENDRA SINGH
ADVOCATE

BEFORE THE HON'BLE ARBITRATION TRIBUNAL, LUCKNOW

MR. J.P.NARAIN

DISTRICT & SESSION JUDGE (RETD.)

Arbitration Case No: **AS-250A/2022**

SHRIRAM FINANCE LIMITED

VS

MR.MOHD. ISRAR & OTHERS

VAKALATNAMA

I / we Mr. **SAYYED MAHMUDUL HASAN RIZVI** the undersigned do hereby nominate and appoint Mr.RAGHVENDRA SINGH (ADVOCATE) &Mr. IBRAHIM ABBAS (ADVOCATE), To be counsel in the above matter and for me/us and on my /our behalf to appear, plead act and answer in the above Court or any appropriate Court or any Court to accounts, exhibits, compromise or other documents what to ever, in connection

with the said matter arising there from and also to apply for and receive all documents or copies of documents, depositions etc. and to apply for issue of summons and other writs or subpoenas and to apply for and get issued any arrest, attachments or other execution warrant or order and to conduct any proceedings that may arise there out and to apply for any receive payment of any or all sums or submits the above matter to arbitration.

Provided, however that if any part of the Advocate fee remains unpaid before the first hearing of the case or if any hearing of the case be fixed beyond the limits of the town then and in such event my/our said Advocate shall not be bounded to appear before the court and if my/our said Advocate(s) appear to the said case he shall be entitled in an out station fee and other expenses of traveling, lodging etc. provided also that if the case be dismissed by default, or if it be proceeded expert they said Advocate(s) shall not be held responsible for the same. And all whatever my/our said Advocate(s) shall lawfully do. I/we do hereby agree to and shall in future ratify and confirm.

ACCEPTED

1. MR.RAGHVENDRA SINGH (ADVOCATE) SIGNATURE OF CLIENT……

2. MR.IBRAHIM ABBAS ADVOCATE